



Cliffco 3

Closed End Second

CHAPTER 1 - CLOSED END SECOND ELIGIBILITY

Closed End Second loans submitted to Cliffco must meet the eligibility criteria of the current published Non-Agency Guide as of the Cliffco loan lock date.

Simple interest payment amortization is not eligible.

1.1 PROGRAM MATRIX

See current Loan/LTV Matrix

1.1.1 ELIGIBLE PRODUCTS (03/09/2026)

The following loan products are eligible for purchase by Cliffco:

PRODUCT	QUALIFYING RATE	TOTAL TERM	I/O TERM	AMORT TERM	INDEX	CAPS
10 YR FIXED	Note Rate	120	NA	120	NA	NA
15 YR FIXED	Note Rate	180	NA	180	NA	NA
20 YR FIXED	Note Rate	240	NA	240	NA	NA
20 YR FIXED I/O	Note Rate	240	36	204	NA	NA
25 YR FIXED	Note Rate	300	NA	300	NA	NA
30 YR FIXED	Note Rate	360	NA	360	NA	NA
30 YR FIXED I/O	Note Rate	360	36	324	NA	NA
30/15 BALLOON	Note Rate	360	NA	*360	NA	NA

*30/15 Balloon Note: Amortization term on the Note is 360 months but the qualifying amortization term for the debt-to-income ratio is based upon 180 months.

Closed end seconds using a simple interest payment amortization are not eligible for purchase.

1.1.2 INTEREST ONLY (11/10/2025)

Qualification is based upon the remaining term (amortized) after expiration of the interest only period.

- 20 Year Term: Qualifying payment based upon the amortized 17 year term
- 30 Year Term: Qualifying payment based upon the amortized 27 year term

Restrictions:

- Primary residence only
- Maximum CLTV is 80%

1.1.3 30/15 BALLOON NOTE (11/10/2025)

- 30/15 Balloon Note has an amortization term of 30 years with a balloon term of 15 years.
- Qualification for DTI is based upon the amortized 15 year balloon term.

1.1.4 LOAN AMOUNTS (11/10/2025)

- Minimum: \$50,000
- Maximum: \$750,000

1.1.5 COMBINED LOAN BALANCE (2/26/2024)

- The CLTV of the combined loan balances are restricted as follows:
 - Combined loan balance > \$2,000,000 – maximum 80% CLTV
 - Combined loan balance > \$3,000,000 – maximum 75% CLTV
- Maximum combined loan balance for all liens not to exceed \$4,000,000

1.1.6 MINIMUM CREDIT SCORE

- Minimum: 680

1.1.7 QUALIFYING PAYMENT (11/10/2025)

The closed end second qualifying payment is based upon the amortized principal and interest payment. For interest only loans, this is the remaining term (amortized) after expiration of the interest only period.

The total housing obligation for the subject property must be included in the debt-to-income

New York – CEMA (11/10/2025) Consolidation, Extension, and Modification Agreement (CEMA) not eligible.

1.1.7.1 TEXAS (11/10/2025)

Closed end seconds in Texas are ineligible.

1.2 FIRST LIEN ELIGIBILITY (11/10/2025)

1.2.1 FIRST LIEN DOCUMENTATION REQUIREMENTS (2/26/2024)

Verify the First lien P&I payment with all the following:

- Copy of First Lien Note

- Default interest rate on Note cannot exceed Note rate
- If Interest Only and/or ARM, terms of the Note to be reviewed (See DTI Requirements)
- Copy of most recent monthly mortgage payment statement
 - Utilized to determine if payment includes escrows (See DTI Requirements)

1.2.2 FIRST LIEN QUALIFYING PAYMENT

First Lien qualifying payment for the debt-to-income (DTI) ratio:

- Stand-Alone Cash-Out Transaction: Use the mortgage payment verified on the credit report.
- Simultaneous Purchase Transaction:
 - Fixed Rate: Note rate amortized over the total term.
 - Adjustable Rate Mortgage (ARM): Qualifying rate is the higher of the fully indexed rate or Note rate.
 - Interest Only (Fixed/ARM): Qualifying rate is amortized over the remaining term after the expiration of the interest only period.

The total housing obligation for the subject property must be included in the debt-to-income (DTI) ratio

1.2.3 INELIGIBLE FIRST LIENS (04/21/2025)

First Liens with the following high-risk features are not eligible:

- Loans in active forbearance or deferment
- Forbearance, modifications, or deferrals (including COVID-19 related events) completed or reinstated within 12-months of the Note date
- Negative amortization payment including loans with Paid-In-Kind (PIK) features
- Balloon term, if the balloon payment becomes due during the amortization period of the new Second lien
- Reverse Mortgages
- Loans secured by more than one underlying property, including cross collateralized loans or blanket mortgages
- Home Equity Line of Credit
- Note terms that include a default interest rate greater than the Note rate

1.3 AGE OF DOCUMENT REQUIREMENTS

1.3.1 CREDIT REVIEW DOCUMENTATION (10/21/2024)

The following documents may not be more than 120 days old at closing (the date the Note is signed):

- Income verification/paystubs
- Asset documents/bank statements
- Credit Report

- Title Commitment/Preliminary Report/Binder
- Owner & Encumbrance Report (O&E)

Any credit review documents exceeding these timeframes must be updated.

1.3.2 APPRAISAL

- Full Appraisal (FNMA Form 1004/1025/1073) and Exterior Drive-By Appraisal (Hybrid/2055/1073) must be dated within 365 days of the Note date. Appraisal Update Form 1004D (aka Recertification of Value) is required if the report exceeds 120 days of the Note Date. See complete appraisal requirements in [Section 2.10.1.1.2 Appraisal Age](#).
- AVMs must be dated within 90-days of the Note date.

1.4 CLIFFCO EXPOSURE – BORROWER LIMITATIONS

Cliffco' aggregate exposure to a single borrower and/or household shall not exceed \$5,000,000 in current unpaid principal balance (UPB) or ten (10) loans.

1.5 BORROWER ELIGIBILITY

1.5.1 ELIGIBLE BORROWERS (07/15/2024)

- U.S. Citizens
- Permanent Resident Aliens (with restrictions)
- Non-Permanent Resident Aliens (with restrictions)
 - Max CLTV 80%

1.5.2 INELIGIBLE BORROWERS (2/26/2024)

- Foreign Nationals
- Non-occupant co-borrowers
- First time homebuyers (FTHB)
- Borrowers with diplomatic immunity, as defined by US Citizenship and Immigration Services
- Persons sanctioned by OFAC
- Any material parties (company or individual) to the transaction listed on HUD's Limited Denial of Participation (LDP) list, the federal General Services Administration (GSA) Excluded Party list, or any other exclusionary list.
- Nonprofit or Not-For-Profit entity

1.5.3 TITLE VESTING AND OWNERSHIP (2/26/2024)

Subject property must be owned a minimum of 6 months to be eligible, as measured from the property acquisition date (Note date) to the subject transaction Note date.

1.5.3.1 VESTING FOR CONSUMER AND BUSINESS PURPOSE LOANS (11/10/2025)

Ownership must be fee simple. Leaseholds are not eligible.

Eligible forms of vesting are:

- Individuals
- Joint tenants
- Tenants in Common
- Inter Vivos Revocable Trust
- Illinois Land Trust

Ineligible forms of vesting are:

- Land Trust
- Blind Trust
- Irrevocable Trust
- IRAs
- Nonprofit or Not-For-Profit entity
- Life Estate

1.5.3.1.1 INTER VIVOS REVOCABLE TRUST

With Restrictions

1.5.3.2 VESTING FOR BUSINESS PURPOSE LOANS (INVESTMENT OCCUPANCY) (2/26/2024)

A Business Purpose Loan where the borrower is an entity is limited to the following structures: Limited Liability Company (LLC), Partnership, and Corporation. (With Restrictions)

1.5.3.2.1 ENTITY DOCUMENTATION REQUIREMENTS

See First Lien criteria

1.5.3.3 POWER OF ATTORNEY

Power of Attorney is not eligible.

1.5.4 OCCUPANCY TYPES

See First Lien criteria

1.5.5 BORROWER STATEMENT OF OCCUPANCY

The borrower must acknowledge the intended occupancy of the subject property ("Primary Residence", "Second Home", or "Investment") by completing and signing the appropriate sections of the "Occupancy Certification".

1.5.6 BORROWER STATEMENT OF BUSINESS PURPOSE (11/10/2025)

All investment occupancy loans are considered business purpose transactions and require the borrower to acknowledge the loan is a business purpose loan by completing and signing the appropriate sections. Cliffco reserves the right to decline any loan that may indicate the property is not intended exclusively for investment purposes.

Common occupancy red flags include, but are not limited to:

- Subject property value significantly exceeds the value of the borrower's primary residence.
- The borrower is a first time homebuyer (FTHB) and currently living rent free or renting his/her primary residence.
- Subject property could reasonably function as a second home.
- Borrower documents show subject property as current residence.

1.6 TRANSACTION TYPES

1.6.1 ELIGIBLE TRANSACTIONS

1.6.1.1 Simultaneous Purchase (04/21/2025)

- See First Lien criteria
- First Lien must be an agency-eligible loan.
 - DU or LPA approval required.

1.6.1.2 STAND ALONE CASH-OUT (11/10/2025)

Any transaction not used to purchase the subject property is considered cash-out.

- Subject property must be owned a minimum of 6 months (on title) to be eligible, as measured from property acquisition date (Note date) to the subject transaction Note date.
- Current appraised value may be used for LTV/CLTV.
- Loans not eligible for cash-out:
 - Primary Residence, Second Home, or Non-Owner Occupied properties listed for sale in the past six (6) months.
 - There has been a prior cash-out transaction within the past six (6) months
 - Lien Free Properties – If the subject property is lien free, including delayed financing, ineligible
 - Frequent Refinances – Two (2) or more cash-out refinances in the past twelve (12) months
 - All existing subordinate liens must be satisfied. No resubordinating permitted.
 - Payoff of a Land Contract/Contract for Deed.

1.6.2 LISTING SEASONING (04/21/2025)

Properties currently listed for sale or previously listed for sale within the past 6 months are ineligible.

1.6.3 NON-ARM'S LENGTH TRANSACTIONS

See First Lien criteria

1.6.4 INTERESTED PARTY CONTRIBUTIONS (SELLER CONCESSIONS)

See First Lien criteria

1.6.5 ESCROWS – IMPOUND ACCOUNTS (04/21/2025)

- Escrow accounts are not permitted on second lien programs.
- If the property is located in a flood zone, evidence of flood insurance is required.

1.6.6 SUBORDINATE FINANCING (2/26/2024)

All existing subordinate liens must be satisfied except for solar panel liens/UCCs (restrictions apply)

1.6.7 PREPAYMENT PENALTY (03/09/2026)

Investment Property Only

A prepayment penalty on a mortgage loan is a fee that a lender may charge if the borrower pays off the loan early, either by refinancing, selling the home, or making extra payments that exceed a specified limit. Where permitted by applicable laws and regulations on an investment property, a prepayment charge may be assessed in the period between one (1) and five (5) years following the execution date of the Note.

The following prepayment structures may be used, see rate sheet for further details:

- A fixed percentage of no less than 3% - The prepayment charge will be equal to a fixed percentage and applied to any curtailment or the entire outstanding principal balance during the prepay period.
- Declining structures that do not exceed 5% and do not drop below 3% in the first 3 years.
Example: (5%/4%/3%/3%/3%) or (5%/4%/3%/2%/1%) – The prepayment charge will be equal to the percentage in effect and applied to any curtailment or the entire outstanding principal balance during the prepay period.

- Six (6) months of interest – The prepayment charge will be equal to six (6) months of interest on the amount of the prepayment that exceeds 20% of the original principal balance in a given 12-month time period.

The prepayment penalty can be disclosed within the body of the Note or in a separate addendum.

The following State restrictions apply:

- **AK, KS, MI, MN, NM, OH, RI, VA:** Prepayment penalties are not allowed.
- **IL, NJ:** Prepayment penalties are not allowed on loans vested to individuals.
- **MD:** Prepayment penalties not allowed on second liens less than \$75,000.
- **MS:** Only declining prepayment penalty structures are allowed.
- **PA:** Prepayment penalty may not be charged on 1–2 unit loans with a loan amount less than or equal to the base figure (\$329,411 for 2026; adjusted annually).
 - This restriction applies to business-purpose loans, whether vested to an individual or an entity.
 - Loans with 3+ units, or with a loan amount greater than \$329,411, are not subject to prepayment restrictions.

1.7 CREDIT

1.7.1 CREDIT REPORTS

A credit report is required for each individual borrower, including any member of an entity providing a personal guaranty. The credit report should provide merged credit data from the three major credit repositories: Experian, TransUnion, and Equifax. Either a tri-merged credit report, or a Residential Mortgage Credit Report is required.

The credit report used to evaluate a loan may not reflect a security freeze. Any frozen credit must be unlocked, and a new credit report (tri-merge or Residential Mortgage Credit Report) must be obtained to reflect current and updated information from all repositories.

1.7.2 GAP CREDIT/UNDISCLOSED DEBT

A gap credit report or Undisclosed Debt Monitoring Report (UDM) is required. See First Lien criteria

1.7.3 FRAUD REPORT AND OFAC SEARCH (07/15/2024)

- Fraud Report: See First Lien criteria for additional requirements.
- OFAC SDN search - Individuals: See First Lien criteria for additional requirements.

1.7.4 CREDIT INQUIRIES

Credit inquiries are to be addressed. See First Lien criteria

1.7.5 HOUSING HISTORY (11/10/2025)

- Housing payment history is required for all Real Estate Owned (REO) evidencing the payment activity for the most recent 12-months.
- For refinances, most recent 12-month housing payment history is required for all mortgages secured by the subject property.
- All payment history will be used for program eligibility.
- Housing payments must be paid current as of the month prior to loan application date.
- Any REO listed on the application owned free & clear requires a Property Profile Report or similar document
 - Property taxes, all insurance, and homeowner's association (HOA) dues if applicable, are to be verified and included in DTI
- Borrower(s) who sold a primary residence within the past six (6) months, currently residing rent-free, and purchasing a new primary residence are allowed. 12-month mortgage history is required on previous primary residence.
- Borrowers who are currently renting a residence, a most recent 12-month rental history is required reflecting paid as agreed.
- If income is being used from a non-subject REO, a housing history is required.
 - Applies to properties vested to an individual or entity.
 - Mortgage liability must be factored in to the net rental income used for qualification.
- For all real estate owned, housing history and credit events documented outside of the credit report must be reviewed for program eligibility.

1.7.5.1 MORTGAGE VERIFICATION (11/10/2025)

The Seller must review mortgage history documentation to determine the payment status of all mortgage accounts. Rolling late payments are not considered a single event. Each occurrence of contractual delinquency is considered individually for loan eligibility.

- Credit report must be reviewed to determine the payment status of all reported mortgage accounts for the previous 12-months.
- Mortgages not reporting on the credit report or mortgages with an incomplete 12-month history, provide any of the following to complete the borrower's payment history:
 - Credit supplement, or
 - Verification of Mortgage (VOM) completed by the lender/servicer, or
 - Loan payment history from the lender/servicer, or
 - Mortgage statements for the review period, provided the statements include a payment history, or
 - Borrower's proof of payment (e.g., Cancelled checks, bank statements, ACH payments, bank transfer/wire, electronic payment method)
- When the **subject property** or the borrower's **primary residence** has a private party mortgage (e.g., individual, private lender, hard money lender), the following documentation is also required:
 - Borrower's proof of payment for the most recent 6-months (e.g., Cancelled checks, bank statements, ACH payments, bank transfer/wire, electronic payment method); and
 - Copy of Note, review for the following high-risk feature:

- Balloon Note with Maturity Default: Expired maturity date exceeding 30 days requires an extension to avoid being counted as delinquent (e.g., delinquent 31 days is 1x30 late, delinquent 61 days is 1x60 late, etc)

If subject transaction is a refinance, mortgage payoff statement is required from the creditor/servicer:

- Payoff statement that reflects late fees, deferred balance, or delinquent interest greater than 30 days are subject to housing history and/or credit event criteria. Transaction is to be considered cash-out.

1.7.5.2 RENTAL VERIFICATION (11/10/2025)

A 12-month rental history is required when the borrower is renting their current primary residence. Payment history is to be verified through one of the following:

- Verification of Rent (VOR) completed by the landlord; **or**
- Lease agreement and borrower's proof of payment for the most recent 12- months (e.g., Cancelled checks, bank statements, ACH payments, bank transfer/wire, or electronic payment method)

1.7.6 CONSUMER CREDIT

See First Lien criteria

1.7.7 FORECLOSURE / DEED-IN-LIEU / SHORT SALE / PREFORECLOSURE / MORTGAGE CHARGE-OFF / NOTICE OF DEFAULT (10/21/2024)

Must be completed a minimum of 48 months. The length of time is measured from the settlement date to the Note date. In the case of a foreclosure which was included in a bankruptcy, the seasoning timeline will start from the earlier of the date of discharge of bankruptcy and the foreclosure completion date.

The following events are considered the same as a foreclosure for loan eligibility:

- Deed-In-Lieu of Foreclosure: Transaction in which the deed to the real property is transferred back to the servicer. These are typically identified on the credit report through Remarks Codes such as "Forfeit deed-in-lieu of foreclosure."
- Short Sale or Preforeclosure Sale: Sale of a property in lieu of a foreclosure resulting in a payoff of less than the total amount owed, which was pre-approved by the servicer. These are typically identified on the credit report through Remarks Codes such as "Settled for less than full balance."
- Charge-off of a Mortgage Account: Occurs when a creditor has determined that there is minimal likelihood that the mortgage debt will be collected. A charge-off is typically reported after an account reaches a certain delinquency status and may be identified on the credit report with a manner of payment (MOP) code of "9."
- Notice of Default: Public notice filed with a court or local recording office to begin the process of foreclosure.

1.7.8 BANKRUPTCY HISTORY

Recent bankruptcies are not allowed. Evidence of bankruptcy resolution is required. The length of time is measured from the discharge/dismissal date to the Note date.

- Bankruptcy must be completed a minimum of 48 months.
- In the case of a foreclosure which was included in a bankruptcy, the seasoning timeline will start from the earlier of the date of discharge of bankruptcy and the foreclosure completion date.

1.7.9 FORBEARANCE, MODIFICATION, OR DEFERRAL (2/26/2024)

Forbearances, modifications, and deferrals are considered under housing payment history as outlined below:

Greater than 12-months from Note Date:

- Forbearance, loan modifications, or deferrals completed or reinstated greater than 12-months from the Note date of the subject transaction and having a 0x30x12 Housing History are allowed.

Within 12-months of Note Date:

- Forbearance, loan modifications, or deferrals completed or reinstated within 12-months of the Note date of the subject transaction are not eligible.

1.7.10 CREDIT SCORE AND TRADELINES (11/10/2025)

- See First Lien criteria
- Simultaneous Transaction: Minimum tradeline requirements are waived when the First Lien has an AUS Approve recommendation.

1.7.11 OBLIGATIONS NOT APPEARING ON CREDIT REPORT

See First Lien criteria

1.8 ASSETS

THE FOLLOWING APPLY TO SIMULTANEOUS PURCHASE TRANSACTIONS.

1.8.1 ASSET REQUIREMENTS (10/21/2024)

Acceptable asset documentation is required to be included in each loan file for simultaneous seconds. The borrower must meet the minimum contribution amount per program requirements for the First Lien. Assets should be liquid or

able to be liquidated without restriction by the borrower. The documentation requirement for all transactions is a single account statement covering a one (1) month period and dated within 120 days of the loan Note date.

1.8.2 ASSET DOCUMENTATION (2/26/2024)

See First Lien criteria

1.8.3 RESERVES

- Simultaneous Transactions: Follow First Lien requirements.
- Stand-Alone Transactions: Reserves are not required.

1.9 INCOME

1.9.1 INCOME ANALYSIS

See First Lien criteria

1.9.2 DEBT-TO-INCOME (DTI) RATIO

The Debt-to-Income (DTI) ratio is calculated and reviewed for adherence to Cliffco Program Matrix criteria, see matrix for requirements.

The DTI ratio consists of two components, the borrower's monthly debt obligations (housing payment for subject property and other property, consumer current debts) and the borrower's current monthly documented income.

The total housing obligation for the subject property must be included in the debt-to-income (DTI) ratio, which includes:

- First Lien principal and interest payment, see First Lien qualifying payment requirements, and
- Monthly real estate taxes, insurance, and association dues (if applicable), and
- Qualifying payment for the subject loan

Real Estate Tax Payment for Subject Property:

- For purchase and construction-related transactions, the Seller must use a reasonable estimate of the real estate taxes based on the value of the land and the total of all new and existing improvements.
 - State of California exception: Use 1.25% of the purchase price to determine the monthly tax payment.
- For refinance transactions, use the current tax assessment.

1.9.3 DOCUMENTATION OPTIONS

See First Lien criteria

1.9.4 STANDARD DOCUMENTATION

See First Lien criteria

1.9.5 ALT DOC BANK STATEMENTS (2/26/2024)

See First Lien criteria

1.9.6 ALT DOC – RENTAL INCOME

See First Lien criteria

1.9.7 ALT DOC – PROFIT & LOSS STATEMENT (P&L) WITH TWO MONTHS BANK STATEMENTS (03/09/2026)

Permitted for self-employed borrowers with a minimum of 25% ownership of the business. The Profit & Loss Statement (P&L) must be prepared by one of the following individuals with knowledge of the business sufficient to prepare a P&L Statement: Third party Certified Public Accountant (CPA), an IRS Enrolled Agent (EA), a CTEC registered tax preparer, or a Tax Attorney. PTIN is not allowed.

- Borrowers must be self-employed for at least two (2) years. The employment section of the URLA must be completed with a minimum of two (2) years self-employment history.
- Required documentation:
 - 12- or 24- month CPA, EA, CTEC, or Tax Attorney prepared P&L Statement representing total business sales and expenses for the time period covered by the P&L Statement.
 - Two (2) months business bank statements for the most recent two (2) months reflected on the P&L statement.
 - Deposits must support 80% of the monthly average sales/revenue reported on the P&L. If most recent 2 months business bank statements do not support 80% of the monthly average sales/revenue, continuous bank statements may be added to the analysis until the tolerance is met.
 - Non-sufficient fund occurrences reported on the most recent two (2) months bank statements are not allowed.
 - Preparer to provide a signed document with all of the following:
 - Confirmation business has been in existence for a minimum of two (2) years
 - Indicate borrower's ownership percentage of the business
 - Confirmation the preparer completed or filed the most recent business tax return
 - Current/active license or certification for the preparer:
 - State CPA license number as verified by license or screenshot from state licensing authority

- IRS Enrolled Agent (EA) certification from IRS (e.g., screenshot of IRS web site)
- CTEC certification from California (e.g., screenshot of CTEC web site)
- State Attorney license number as verified by license or screenshot from state licensing authority

1.9.7.1 QUALIFYING INCOME (11/10/2025)

- Net income from the P&L Statement divided by the time period covered (12- or 24- months) multiplied by the borrower's ownership percentage.
- Expenses on the P&L must be reasonable for the industry, Cliffco reserves the right to request additional information.
- The following may be added back to the qualifying income calculation:
 - Depreciation
 - Depletion
 - Amortization/Casualty Loss

1.9.7.2 RESTRICTIONS (11/10/2025)

- P&L Statement reviewed or prepared by a PTIN not allowed.
- Ineligible: Nonprofit or Not-For-Profit business.
- Cliffco reserves the right to request additional documentation when a Third party Certified Public Accountant (CPA), IRS Enrolled Agent (EA), CTEC registered tax preparer, or Tax Attorney prepares P&L Statements for multiple borrowers.
- P&L Statement is ineligible when completed by an employee of the Seller or completed by any parties with a vested interest in the subject property or mortgage transaction.

1.9.8 ALT DOC - IRS FORM 1099

See First Lien criteria

1.9.9 ALT DOC - WRITTEN VERIFICATION OF EMPLOYMENT (04/21/2025)

A written Verification of Employment (WVOE) may be utilized when documenting wages/salary income. The following criteria applies:

- Two year history with the same employer is required.
- Completed FNMA Form 1005.
- Primary Residence, Second Home, and Investment allowed.
- Paystubs, Tax Returns, 4506-C, or W-2's not required.
- Must be completed by Human Resource, Payroll Department or Officer of the Company.
- Two (2) Months Personal Bank Statements required to support the WVOE. The bank statements must reflect deposits from the employer supporting at least 65% of gross wage/salary reflected on the WVOE.
- No gift funds allowed.
- Borrower(s) employed by family members or related individuals are not eligible.

- An internet search of the business is required with documentation to be included in the credit file to support the existence of the business.
- Other sources of income, documented using Alt Doc, are eligible and can be used to determine total household qualifying income.
 - For the borrower utilizing the WVOE, no other active employment income may be utilized, passive income such as rental income can be included.

1.9.10 DESKTOP UNDERWRITER (DU) AND LOAN PRODUCT ADVISOR (LPA) (11/10/2025)

- Simultaneous purchase transactions only
- Final AUS findings must be included in the loanfile:
 - Fannie Mae: DU Approve/Eligible, or
 - Freddie Mac: LPA Accept/Eligible
- AUS Findings: Ineligible, Caution, or Refer with Caution not allowed
- Findings permitted to be used for income, asset, and liability documentation
- Findings permitted to be used to meet minimum tradeline requirements
- Appraisal must follow the requirements of this Closed End Second program
 - Appraisal waiver option from DU or LPA findings not eligible
- Max DTI based upon CLTV restrictions for this Closed End Second program

1.10 PROPERTY ELIGIBILITY

1.10.1 APPRAISALS (10/21/2024)

When a full appraisal is utilized for the value determination, see First Lien criteria

1.10.1.1 APPRAISAL REQUIREMENTS 1-4 UNIT RESIDENTIAL (11/10/2025)

Primary valuation and secondary valuation (appraisal review) are required for all loan files.

Primary valuation products are referenced below. See First Lien for eligible valuation products.

HPML loans that are not Qualified Mortgages require a full appraisal with an interior inspection, regardless of the loan balance.

Primary Valuation - Loan Amount <=\$400,000

Provide one of the following:

- AVM from an approved vendor with an acceptable FSD score **and** a new Property Condition Report with acceptable findings
 - AVM may not be more than 90 days old at closing (date the Note is signed)
- Exterior Drive-By appraisal (Hybrid or 2055 or 1075)

- Only allowed for one (1) unit property, with or without an accessory dwelling unit (ADU)
- New Appraisal (FNMA Form 1004/1025/1073)
- Prior First lien appraisal dated within 12-months of subject loan Note date allowed subject to the following:
 - The lender on the prior appraisal must be the same as the subject loan, and
 - A new Property Condition Report with acceptable findings, and
 - Recertification of value by the original appraiser
- Broker Price Opinion (BPO) from one of the following:
 - Clear Capital, or
 - Consolidated Analytics, or
 - Computershare, or
 - Stewart Valuation Intelligence

Primary Valuation - Loan Amount >\$400,000

Provide one of the following:

- New Appraisal (FNMA Form 1004/1025/1073)
- Prior First lien appraisal dated within 12-months of subject loan Note Date allowed subject to the following:
 - The lender on the prior appraisal must be the same as the subject loan, and
 - A new Property Condition Report with acceptable findings, and
 - Recertification of value by original appraiser, and
 - AVM from an approved vendor with an acceptable FSD score
 - AVM may not be more than 90 days old at closing (date the Note is signed)
 - The lower of the Prior Appraisal value or the current AVM will be used to determine CLTV

1.10.1.1.1 AVM VENDORS (07/15/2024)

THE FOLLOWING AVM VENDORS ARE ACCEPTABLE:	
AVM Vendor	Acceptable FSD Score Range
Clear Capital	0.00 to 0.13
Collateral Analytics	0.00 to 0.10
House Canary	0.00 to 0.10
Red Bell Real Estate (Homegenius)	0.00 to 0.10

1.10.1.1.2 PROPERTY CONDITION REPORTS

When required, a Property Condition Report (i.e., Clear Capital Property Condition Inspection) should be obtained to include an exterior photo of the subject property along with a rating of the property's physical condition and characteristics.

1.10.1.2 APPRAISAL TRANSFERS (2/26/2024)

A transferred appraisal report is acceptable provided the report meets the Seller's appraisal requirements for independence.

1.10.1.3 APPRAISAL REVIEW PRODUCTS 1-4 UNIT RESIDENTIAL (04/21/2025)

An appraisal review product (secondary valuation) is required on every loan file unless a second appraisal is obtained. The appraisal review product should provide an "as is" value for the subject property (the "Appraisal Review Value") as of the date of the subject loan transaction.

- The Seller may submit the appraisal report to Collateral Underwriter® (CU) or Loan Collateral Advisor® (LCA). An eligible score is 2.5 or less. The file must include a copy of the Submission Summary Report (SSR).
 - Only one score required, if both scores (CU & LCA) provided, both required to be 2.5 or less.
 - If the score exceeds 2.5, the file must include either an enhanced desk review, field review, or second appraisal; or
- An enhanced desk review product from one of the following choices:
 - ARR from Stewart Valuation Intelligence FKA Pro Teck
 - CDA from Clear Capital
 - ARA from Computershare
 - CCA from Consolidated Analytics
 - VRR from Homegenius Real Estate
 - Valreview Appraisal Review Value from Valligent (Veros Software Company)
- If the enhanced desk review or BPO product reflects a value more than 10% below the appraised value or cannot provide a validation, the file must include either a field review or a second appraisal. A field review or a second appraisal is acceptable. These may not be from the same appraiser or appraisal company as the original report.
- AVM from an approved vendor with an acceptable FSD score.
 - AVM may not be more than 90 days old at closing (the date the Note is signed).
 - If primary valuation is based on an AVM, review must be from a different vendor.
 - If two AVMs are ordered, the AVM with the highest FSD score (closest to zero) will be treated as the primary valuation product.
 - The second AVM will be treated as the secondary valuation product and must support the primary AVM within 10%. If the second AVM does not support the primary AVM within 10%, the file must include either a BPO, exterior-only appraisal, or full appraisal.
 - If both AVMs have the same FSD, the lower of the two property values must be utilized for determining the CLTV.
- Broker Price Opinion (BPO)
 - If two BPOs are ordered, the BPO with the lowest value will be treated as the primary valuation product.
 - If two BPOs are ordered, they must be completed by different brokers.

1.10.1.4 MINIMUM PROPERTY REQUIREMENTS

MINIMUM SQUARE FOOTAGE

Single Family 700 square feet	Condominium 500 square feet	2-4 Units 400 square feet per individual unit
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All properties must:

- Be improved real property.
- Be accessible and available for year-round residential use.
- Contain a full kitchen and a bathroom.
- Represent the highest and best use of the property.
- Not contain any health or safety issues.

1.10.1.5 PERSONAL PROPERTY

- See First Lien criteria

1.10.1.6 ESCROW HOLDBACKS

- Escrow holdbacks are not allowed.

1.10.1.7 DECLINING MARKETS

The loan transaction is subject to a CLTV cap if the property is in a declining market, see matrix for restrictions. Declining markets are determined by a) property location in a State identified by Cliffco, or b) the appraisal report reflects a declining market under housing trends.

1.10.2 PROPERTY TYPES

1.10.2.1 ELIGIBLE PROPERTIES (07/15/2024)

- Single Family Detached
 - Up to two accessory dwelling units (ADU) are allowed, see first lien for eligibility criteria.
- Single Family Attached
- Planned Unit Development (PUD)
 - Single Family Detached homes with PUD riders
- De minimus Planned Unit Development (dPUD)
 - PUD with “de minimus” monthly HOA dues
- 2-4 Unit residential properties
- Condominium

1.10.2.1.1 TILA HIGHER PRICED MORTGAGE LOANS (HPML) APPRAISAL RULE 1026.35(A)(1) (PROPERTY FLIPS)

- See First Lien criteria

1.10.2.2 INELIGIBLE PROPERTIES (04/21/2025)

- Leaseholds
- Properties currently listed for sale or previously listed for sale within the past 6-months.
- Properties with more than 10 acres.
- Rural property, classified as rural if:
 - The appraiser indicates in the neighborhood section of the report a rural location; or
 - Any of the following two (2) conditions exist:
 - The property is located on an unpaved road.
 - Two of the three comparable properties are more than five (5) miles from the subject property.
 - Less than 25% of the surrounding area is undeveloped.
- For other ineligible properties, see First Lien criteria

1.10.3 ACREAGE LIMITATIONS (11/10/2025)

- A maximum of 10 acres, not meeting the definition of rural
- No truncating allowed

1.10.4 LEASEHOLD PROPERTIES

Leasehold properties are not eligible.

1.10.5 DISASTER AREAS (07/15/2024)

- If a full appraisal is utilized (e.g., form 1004, 1073, 1025), see First Lien
- If other appraisal products (e.g., exterior-only form 2055/2075, AVM, BPO) are completed before the disaster, see First Lien criteria

1.10.6 CONDOMINIUM PROJECTS (2/26/2024)

See First Lien criteria

1.10.6.1 INELIGIBLE PROJECTS

- Condominium Hotel – (a.k.a. Condo Hotel, Condotel)
- See First Lien criteria for additional ineligible projects

1.10.6.2 CONDOMINIUM INSURANCE REQUIREMENTS

See First Lien criteria

1.11 TITLE REQUIREMENTS (2/26/2024)

1.11.1 TITLE REPORT

- **For loan balances less than or equal to \$250,000**, provide one of the following:
 - Owner and Encumbrance Report (O&E), to include:
 - Current Grantee / Owner
 - How property was conveyed to current owner
 - Liens (e.g., mortgage, UCC, other financing)
 - Involuntary liens and judgments
 - Property Tax Information with break-down of all taxes including special assessments
 - Legal Description
 - ALTA Full Title Policy
 - ALTA Short Form Residential Limited Coverage Junior Loan Policy
- **For loan balances greater than \$250,000**, provide one of the following:
 - ALTA Full Title Policy
 - ALTA Short Form Residential Limited Coverage Junior Loan Policy

1.11.2 SOLAR PANELS (2/26/2024)

Solar panels are allowed unless they are financed through PACE, HERO, or equivalent. See first lien

1.12 INSURANCE REQUIREMENTS

1.12.1 PROPERTY INSURANCE

- Hazard insurance coverage must provide for claims to be settled on a replacement cost basis
 - See First Lien for additional clarification
- Loss payee clause must reflect the Seller as additional insured

1.12.2 FLOOD INSURANCE

- Flood determination required for every loan file
- Properties within a flood zone require evidence of insurance coverage in accordance with the HFIAA
 - See First Lien for additional clarification
- Loss payee clause must reflect the Seller as additional insured